

1 ENGROSSED HOUSE  
2 BILL NO. 3279

By: Pfeiffer of the House

3 and

4 Hall of the Senate  
5

6 An Act relating to state government; amending 74 O.S.  
7 2021, Section 85.42, as amended by Section 9, Chapter  
8 336, O.S.L. 2025 (74 O.S. Supp. 2025, Section 85.42),  
9 which relates to the Oklahoma Central Purchasing Act;  
10 broadening scope of certain prohibited act; deleting  
11 certain contract penalties and employment  
12 prohibitions; providing employment restrictions for  
13 state officers or employees under certain  
14 circumstances; requiring inclusion of certified  
15 statements for purchase contracts exceeding certain  
16 dollar amount; authorizing the appointment of  
17 contract signatory designees; requiring written  
18 designations; voiding contracts or agreements for  
19 certain violations; prohibiting persons from entering  
20 into state contracts or being rehired for specified  
21 period of time; amending 74 O.S. 2021, Section 590,  
22 which relates to the Oklahoma Privatization of State  
23 Functions Act; broadening scope of certain prohibited  
24 act; authorizing the Attorney General and state  
agencies to terminate certain contracts; increasing  
time limitation that bars business organizations from  
contracting with the state, its agencies, or  
political subdivisions of the state; allowing the  
Attorney General or state agency to pursue monetary  
damages and certain relief; and providing an  
effective date.

21 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

22 SECTION 1. AMENDATORY 74 O.S. 2021, Section 85.42, as  
23 amended by Section 9, Chapter 336, O.S.L. 2025 (74 O.S. Supp. 2025,  
24 Section 85.42), is amended to read as follows:

1       Section 85.42. A. 1. Except as otherwise provided for in this  
2 section or other applicable law, any agency, whether or not such  
3 agency is subject to the Oklahoma Central Purchasing Act, shall be  
4 prohibited from entering into a ~~sole source contract or agreement or~~  
5 ~~a contract or agreement for professional services~~ with or for the  
6 services of any person who has terminated employment with or who has  
7 been terminated by that agency for one (1) year after the  
8 termination date of the employee from the agency. ~~Any contract or~~  
9 ~~agreement entered into in violation of this subsection shall be~~  
10 ~~void. Any person found to have violated this subsection shall be~~  
11 ~~prohibited from entering into any state contract for a period of~~  
12 ~~five (5) years from the date of the execution of the contract or~~  
13 ~~agreement. The provisions of this subsection shall not prohibit an~~  
14 ~~agency from hiring or rehiring such person as a state employee.~~

15       2. Any chief administrative officer of an agency, whether or  
16 not such agency is subject to the Oklahoma Central Purchasing Act,  
17 shall not enter into any contract for nonprofessional or  
18 professional services for the purpose of or which would result in  
19 the circumvention of the full-time-equivalent employee limitation  
20 established by law for such agency.

21       3. Any state officer or employee, who exercises discretionary  
22 or decision-making authority in entering into a contract of Twenty-  
23 five Thousand Dollars (\$25,000.00) or more, shall be prohibited for  
24 a period of one (1) year from the date of execution or renewal of

1 the contract from becoming an officer or employee of a business  
2 organization which is a party to any contract with the state agency  
3 in which the state officer or employee exercised such discretionary  
4 or decision-making authority.

5 B. Each contract for purchases of Twenty-five Thousand Dollars  
6 (\$25,000.00) or more, including change orders, extensions, renewals,  
7 or amendments, entered into by any person or firm with the State of  
8 Oklahoma shall include a statement certifying that no person who has  
9 been materially involved in any manner in the development, approval,  
10 or negotiation of such contract while employed by the state shall be  
11 employed or given anything of value in consideration of receiving  
12 the contract to fulfill any of the services provided for under the  
13 contract. Each contract for purchases of Twenty-five Thousand  
14 Dollars (\$25,000.00) or more, including change orders, extensions,  
15 renewals, or amendments, shall also include a statement ~~from the~~  
16 ~~chief executive officer or head of the contracting state agency~~  
17 certifying that no known officer or employee of the contracting  
18 state agency who has any direct or indirect financial, pecuniary, or  
19 other personal interest in the contract has been involved in any  
20 manner in the development, approval, or negotiation of the contract  
21 through influence, decision, recommendation, or otherwise. The  
22 chief executive officer or head of the contracting state agency may  
23 appoint an employee of the agency as a contract signatory designee.  
24 Such designation shall be made in writing. However, such

1 designation shall not absolve the chief executive officer or head of  
2 the contracting agency from responsibility for implementing the  
3 provisions of this subsection. This subsection shall not preclude  
4 faculty and staff of the institutions within The Oklahoma State  
5 System of Higher Education from negotiating and participating in  
6 research grants and educational contracts. This subsection shall  
7 not apply to Oklahoma Department of Commerce personnel who contract  
8 to provide services to the Oklahoma Capital Investment Board.

9 C. As used in this section, "person" means any state official  
10 or employee of a department, board, bureau, commission, agency,  
11 trusteeship, authority, council, committee, trust, school district,  
12 fair board, court, executive office, advisory group, task force,  
13 study group, supported in whole or in part by public funds or  
14 entrusted with the expenditure of public funds or administering or  
15 operating public property, and all committees, or subcommittees  
16 thereof, judges, justices and state legislators.

17 D. Notwithstanding anything to the contrary in this section,  
18 the following sole-source or professional services contracts are  
19 allowed at any time:

20 1. A contract for professional services at any time with a  
21 person who is a qualified interpreter for the deaf; and

22 2. A contract between a business entity that is a part-time  
23 certified court reporter and the Administrative Office of the  
24

1 Courts, on behalf of the district courts, or the Office of the  
2 Attorney General.

3 E. Provided the provisions specified in subsection B of this  
4 section are satisfied, the following professional services contracts  
5 are allowed:

6 1. The Department of Transportation, Oklahoma Water Resources  
7 Board, Department of Environmental Quality, Oklahoma Tourism and  
8 Recreation Department, the Oklahoma Turnpike Authority and the  
9 Oklahoma Department of Agriculture, Food, and Forestry may contract  
10 with a person who has retired from state service;

11 2. To maintain public health infrastructure and preparedness,  
12 the State Department of Health and city-county health departments  
13 may contract with a physician assistant, Registered Nurse, advanced  
14 practice nurse, Nurse-Midwife, registered dietitian, occupational  
15 therapist, physical therapist or speech-language pathologist who has  
16 retired from state service; and

17 3. The Department of Mental Health and Substance Abuse Services  
18 may contract with a physician, Registered Nurse, registered  
19 pharmacist or person meeting the definition of a licensed mental  
20 health professional, as defined in Title 43A of the Oklahoma  
21 Statutes, who has separated and/or retired from state service.

22 F. Any contract or agreement entered into in violation of this  
23 section shall be void. Any person found to have violated this  
24 section shall be prohibited from entering into any state contract or

1 from being rehired as a state employee for a period of three (3)  
2 years from the date of voiding, termination, or cancellation of the  
3 contract or agreement.

4 SECTION 2. AMENDATORY 74 O.S. 2021, Section 590, is  
5 amended to read as follows:

6 Section 590. A. Any state officer or employee who exercises  
7 discretionary or decision-making authority in ~~awarding~~ entering into  
8 a ~~privatization~~ contract pursuant to the Oklahoma Privatization of  
9 State Functions Act, shall be prohibited for a period of one (1)  
10 year from the effective date ~~that~~ of the ~~privatization~~ contract is  
11 awarded from becoming an officer or employee of a business  
12 organization which is a party to any ~~privatization~~ contract with the  
13 state agency in which the state officer or employee exercised such  
14 discretionary or decision-making authority.

15 B. In the event of a violation of the provisions of subsection  
16 A of this section, ~~the~~ the:

17 1. The Attorney General or the state agency may terminate the  
18 contract with the business organization;

19 2. The Attorney General may terminate any other state contract  
20 with the business organization; and

21 3. The business organization shall be prohibited, for a period  
22 of ~~one (1) year~~ three (3) years from the date of ~~the violation,~~  
23 employment or association of the former state officer or employee  
24 with the business organization, from contracting with the ~~state~~

1 State of Oklahoma or any agency in which the state officer or state  
2 employee exercised discretionary or decision-making authority or  
3 political subdivision of the State of Oklahoma.

4 The Attorney General or state agency may pursue monetary damages  
5 and declaratory and equitable relief from the business organization  
6 for repayment of any funds expended or encumbered pursuant to the  
7 contract and any losses attributable to the contract or its  
8 termination.

9 SECTION 3. This act shall become effective November 1, 2026.

10 Passed the House of Representatives the 10th day of March, 2026.

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12 \_\_\_\_\_  
13 Presiding Officer of the House  
14 of Representatives

15 Passed the Senate the \_\_\_\_\_ day of \_\_\_\_\_, 2026.

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18 Presiding Officer of the Senate  
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